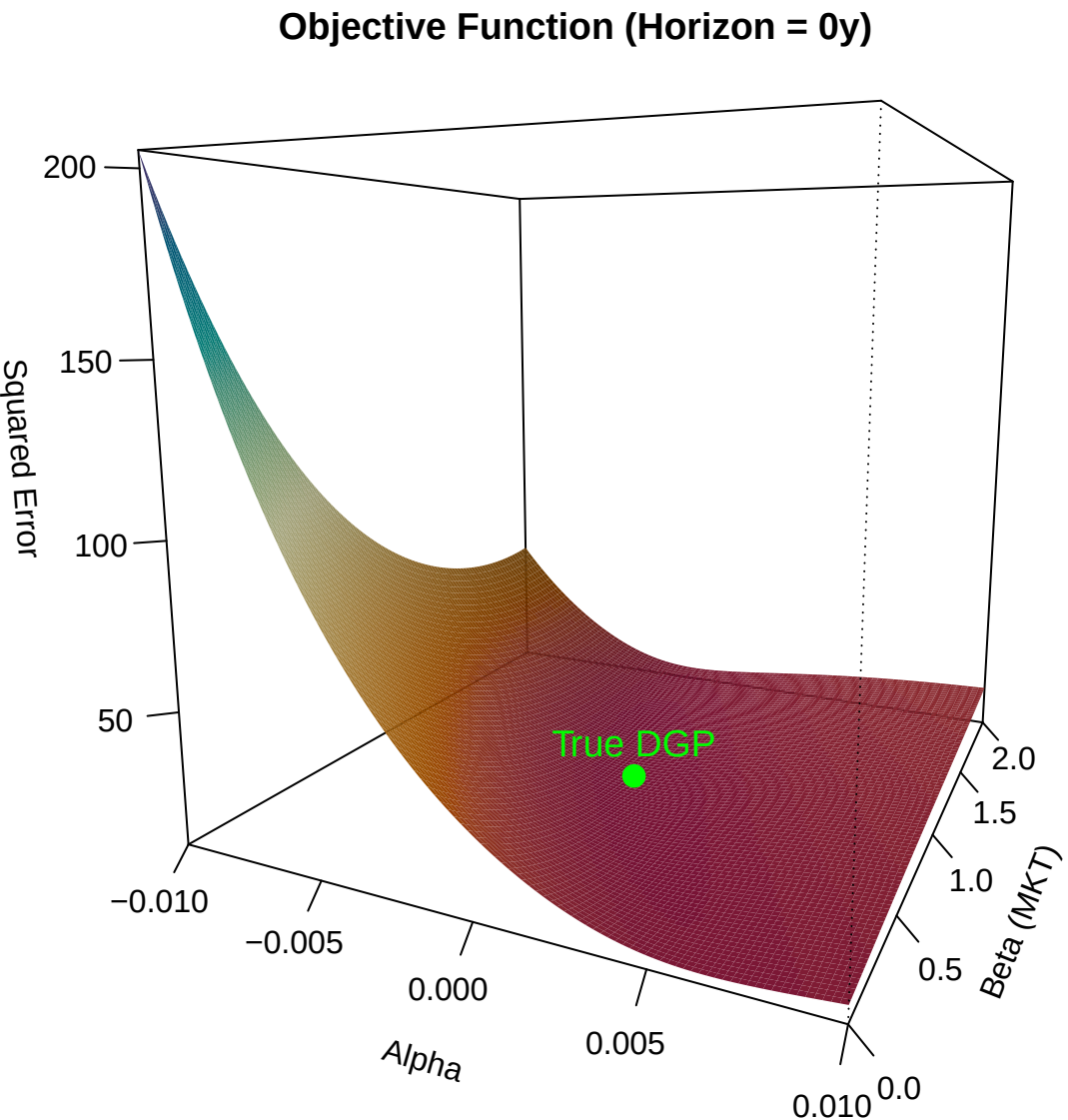
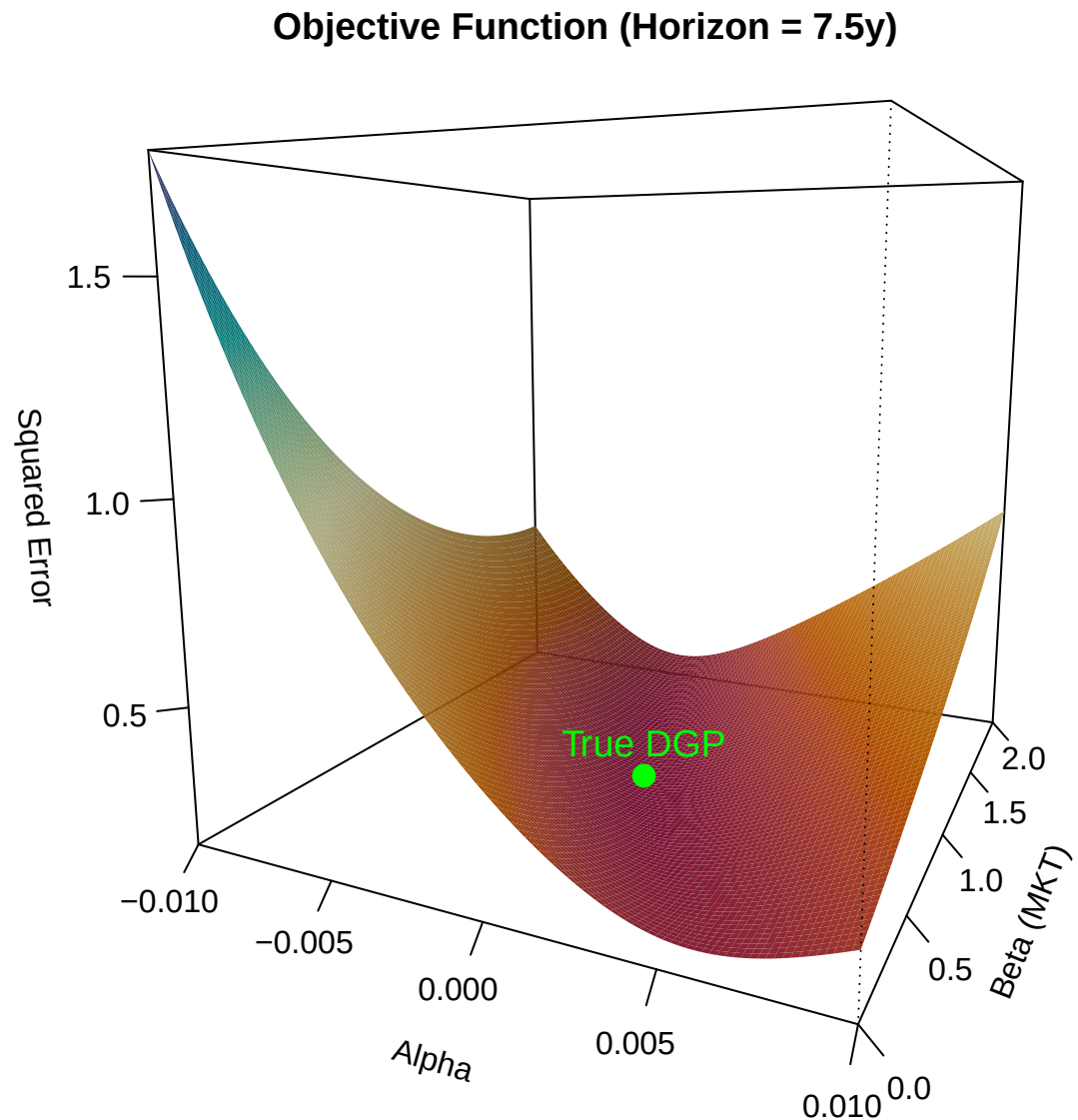

Objective Function (Horizon = 0y)
Squared Error
200
150
100
50
True DGP
−0.010
−0.005
0.000
0.005
0.010
Alpha
0.0
0.5
1.0
1.5
2.0
Beta (MKT)


Objective Function (Horizon = 7.5y)
Squared Error
1.5
1.0
0.5
True DGP
−0.010
−0.005
0.000
0.005
0.010
Alpha
0.0
0.5
1.0
1.5
2.0
Beta (MKT)